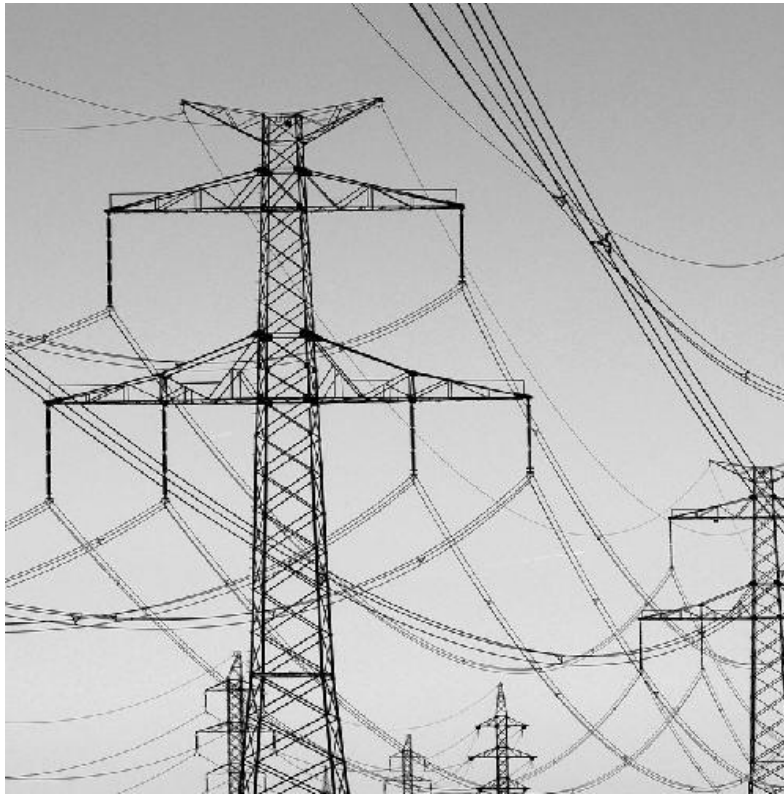


Natural monopolies



Some goods tend naturally to be supplied by monopolies – usually those which see lower average costs of production as output goes up. Distribution of electricity is an example of such a natural monopoly: setting up a distribution network – underground cables, pylons and so on – is very costly, and because of the high initial cost, the more electricity is distributed, the lower the average cost. This means that a single firm operating an electricity network is far more cost-effective than two competing firms each operating their own distribution networks.

Given economies of scale, competitors are unlikely to enter such a market of their own accord, and breaking up a natural monopoly into competing firms might not be efficient. However, the power of monopolies may allow them to raise prices, so governments have an important role to play in limiting prices,

particularly for utility suppliers. As a result, most governments tend to regulate, rather than break up, natural monopolies.